contracts. Warlords may sign peace treaties, but knowing they will not be enforced, exploit the ensuing peace to prepare for the next war.

How to build commitment against predation and enforce contracts at the national level are first-order economic issues. Early economists, like Hobbes and Locke, reflected on them, but with a few notable exceptions, economists neglected them for many decades, in part, perhaps, because many were trained in developed countries where the complete markets model is somewhat less absurd. Only recently have economists returned to these questions.

Although the complete markets model can be a useful abstraction in some circumstances, it is an intellectual straitjacket when applied universally, particularly because it ignores the costs of contracting and enforcement. Requiring card-carrying economists to stay within a few standard deviations of the model may greatly hinder their ability to focus on what is essential in environments different from the one that gave birth to the model. I say this even though several important breakthroughs in economics in the last three decades have come from one-step deviations, such as assuming that not everyone has the same information (known in the jargon as 'asymmetric information'), or that economic activity is carried out by organizations where employees may not share the goals of the organization (known in the jargon as 'agency').

One problem with relying on models that are within a few standard deviations of the complete market model to guide policy in a poor country is that solutions may seem far easier than they actually are. For example, in these countries some contracts are inflexible or do not exist. The facile policy prescription from the model is to advocate greater flexibility or to create the missing contract. Yet there may be far deeper deficiencies that need to be addressed in order to rectify the problem.